Jagpal Singh Chaney vs Cbi on 17 November, 2014

Author: Sunita Gupta

Bench: Sunita Gupta

* IN THE HIGH COURT OF DELHI AT NEW DELHI

Date of Decision: November 17, 2014

\+ CRL.A. 780/2013
JAGPAL SINGH CHANEY

..... Appellan

Through: Mr. Ramesh Gupta, senior advocate with Mr. Manav Gupta, Advs.

versus

CBI

..... Respond

Through: Mr. Sanjeev Bhandari, Standing Counsel f CBI

\+ CRL.A. 883/2013
JAGPAL SINGH CHANEY

..... Appellan

Through: Mr. Ramesh Gupta, senior advocate with Mr. Manav Gupta, Advs.

versus

CBI

..... Respond

Through: Mr. Sanjeev Bhandari, Standing Counsel f CBI

CORAM:
HON'BLE MS. JUSTICE SUNITA GUPTA

ORDER

: SUNITA GUPTA, J.

Crl. MB 10273/2014 in Crl. A. 780/2013 & Crl. MB 10274/2014 in Crl. A. 883/2013

1. By virtue of these applications, the appellant - Jagpal Singh Chaney seeks suspension of sentence and release on bail during pendency of appeals.

2. It is submitted by Mr. Ramesh Gupta, learned senior counsel for the appellant that the appellant has been convicted for offences under Section 120B read with Section 420/ 467/468/471 of Indian Penal Code read with Section 13(2)

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and 13(1) (d) of Prevention of Corruption Act and Section 420,467 and 468 IPC. For the offence of conspiracy i.e. 120B IPC, he has been awarded a sentence of two years rigorous imprisonment with

fine while for offence under Section 420, 467 and 468 of IPC, he has been awarded punishment of rigorous imprisonment of three years and six months in addition to fine. It was submitted that offence under Section 468 and 471 IPC are not made out even if the prosecution case is taken on its face value inasmuch as the appellant was working as a empanelled valuer with the bank. The valuation report was submitted by him under his signatures. Under the circumstances, it cannot be said that the report was false, bogus or forged. Reliance was placed on A.M. Chakrabortty v Ved Vrat and Ors., 1986 (2) Crimes 49 and Mohammed Ibrahim and Others v State of Bihar and Another, (2009) 3 SCC (Crl.) 929. It was submitted that the loan and credit facilities were not granted only on the basis of valuation report by the appellant, but the same were verified by the bank through other channels also. The appellant is in custody for the last fifteen (15) months. He is aged about 68 years and is suffering from various ailments as such his sentence be suspended.

3. The applications are vehemently opposed by learned Standing Counsel for CBI and it was submitted that the appellant was on the panel of valuers of State Bank of Bikaner and Jaipur. M/s Standard Logistics Pvt. Ltd. through its Director, namely, Sushil Verma and Amrita Verma had been availing certain credit facilities from the Nangal Raya Branch, New Delhi since 20.12.2004. The company sought enhancement of credit facilities and offered a collateral security of a property to secure loan and the credit facilities. The property offered as collateral security was valued by the appellant and he submitted a valuation report dated 12.03.2005 assessing the value of the property at Rs.1,79,93,000/- and he mentioned the description of the property as "Property is residential vacant piece of land measuring 5 Bigha 19 Biswas". However, no such property was found in existence at the said location thereby establishing that the valuation report was false/bogus.

The appellant was taken to the area alongwith Kanungo and Patwari, but he could not identify the property in question. Thus, the appellant made a false report leading to wrongful loss to the bank and wrongful gain to the accused in addition to the fraud. Further in 2005 itself, M/s Standard Logistics Pvt. Ltd. requested for further enhancement of cash credit limit and offered the same landed property and this time the appellant assessed the value of the property at Rs.2,39,90,000/-. The investigation revealed that no vacant piece of land of that description was in existence. As such, it was submitted that the appellant is not entitled to be released on bail.

4. Needless to say, the allegations against the appellant are very serious and grave in nature. Under the circumstances, at this stage, no ground for suspending the sentence and releasing the appellant on bail is made.

The applications are dismissed.

(SUNITA GUPTA) JUDGE NOVEMBER 17, 2014/rd
